1. (a)

i. Current ratio = $\frac{\text{current assets}}{\text{current liabilities}}$

$= \frac{(4300 + 21200 + 10000)}{12370}$

$= 2.87 : 1$

~~ii. Receivables turnover = $\frac{\text{Cost of goods sold}}{\text{net credit sales}}$~~

ii. Receivables turnover = $\frac{\text{net credit sales}}{\text{average receivables}}$

$= \frac{100,000}{\left(\frac{21200+23400}{2}\right)}$

$= 4.48 \text{ times}$

iii. Inventory turnover = $\frac{\text{Cost of goods sold}}{\text{average inventory}}$

$= \frac{60,000}{\frac{(10,000+7,000)}{2}}$

$= 7.06 \text{ times}$

iv. Profit margin = $\frac{\text{net income}}{\text{net sales}}$

$= \left(\frac{15,000}{100,000}\right) \times 100$ %.

$= 15$ %.

v. Return on common stockholders equity =

$$\frac{\text{net income} - \text{preferred dividends}}{\text{average common stockholder's equity}}$$

$= \left(\frac{15,000}{\frac{(75000 + 23130 + 69000 + 20000)}{2}} \times 100 \right)$ %.

$= 16.03$ %.

vi. Debt to total assets ratio = $\frac{\text{total debt}}{\text{total assets}}$

$= \left(\frac{12370}{110500} \times 100 \right)$ %.

$= 11.19\%$

1.6

Sparkle Creations Co.

Income Statement

For the month ended June 30, 2021

Particulars	Amount $	Amount $
Revenues		
Service Revenue		7,000
Expenses		
Supplies Expense	1,600	
Gas and Oil Expense	200	
Advertising Expense	400	
Utilities Expense	150	
Total Expense		(2350)
Net Income		$ 4,650

Sprinkle Creations Co

Owner's Equity statement

For the month ended June 30, 2021

Particulars	Amount $	Amount $
Jennifer Farrin, Capital, June 1, 2021		-0-
Add:		
Investments	15,200	
Net Income	4,650	
		19850
Less:		
J. Farrin, Drawings		(1,300)
J. Farrin, Capital, June 30, 2021		$ 18550

Sparkle Creations Co

Balance Sheet

June 30, 2021

Particulars	Amount $	Amount $
Assets		
Cash	13,750	
Accounts Receivable	3000	
Craft Supplies	2000	
Equipment	10,000	
Total Assets		$28750
Liabilities and Owner's Equity		
Liabilities		
Accounts Payable	1,200	
Notes Payable	9,000	
Total Liabilities		10,200
Owner's Equity		
J. Farrin, Capital		18,550
Total Liabilities and Owner's Equity		$28750

2.(a)

Zubayer is incorrect.

The basic equation of accounting says,

Assets = Liabilities + Owner's Equity

Therefore, to balance this equation, every transaction must affect at least 2 accounts. Based on this, Luca Pacioli, father of accounting invented the double entry system.

In the double entry system, transactions are recorded on their corresponding accounts as debits and credits, resulting in an equal amount of debit and credit totals throughout the journal. As both debit and credit is calculated for their respective accounts, this system is known as the ~~basic equation of~~ dual entry system.

General Journal

Date	Accounts Title and Explanation		Ref	Debit	Credit
2018 April 1	Cash	Dr		40,000	
	~~Owner's Capital~~ M.Ittasen, Capital	Cr			40,000
April 1	No transaction				
April 2	Rent Expense	Dr		1,000	
	Cash	Cr			1,000
April 3	Supplies	Dr		4,000	
	Accounts Payable	Cr			4,000
April 10	Accounts Receivable	Dr		5,100	
	Service Revenue	Cr			5,100
April 11	Cash	Dr		1,000	
	Unearned Revenue	Cr			1,000
April 20	Cash	Dr		2,100	
	Service Revenue	Cr			2,100
April 30	Salaries Expense	Dr		2,400	
	Cash	Cr			2,400
April 30	Accounts Payable	Dr		1,600	
	Cash	Cr			1,600

Ledger

Cash

Date	Explanation	Debit	Credit	Balance
April 1		40,000		40,000
2			1000	39,000
11		1000		40,000
20		2100		42,100
30			2400	39700
30			1600	38100

Accounts Receivable

Date	Explanation	Debit	Credit	Balance
April 10		5,100		5,100

Supplies

Date	Explanation	Debit	Credit	Balance
April 3		4,000		4,000

Accounts Payable

Date	Explanation	Debit	Credit	Balance
April 3			4000	4000
30		1600		2400

Unearned Revenue

Date	Explanation	Debit	Credit	Balance
April 11			1000	1000

M. Hasan, Capital

Date	Explanation	Debit	Credit	Balance
April 1			40,000	40,000

Service Revenue

Date	Explanation	Debit	Credit	Balance
April 10			5100	5100
20			2100	7200

Salaries Expense

Date	Explanation	Debit	Credit	Balance
April 30		2400		2400

Rent Expense

Date	Explanation	Debit	Credit	Balance
April 2		1000		1000

Mehzabin Hasan

Trial Balance

May 31, 2018

Accounts Title	Debit $	Credit $
Cash	38100	
Accounts Receivable	5,100	
Supplies	4,000	
Accounts Payable		2400
Unearned Revenue		1000
M. Hasan, Capital		40,000
Service Revenue		7,200
Salaries Expense	2400	
Rent Expense	1000	
	$ 50,600	$ 50,600

3.(a)

Following the Revenue Recognition Principle, the $1000 should be considered to be earned on November 30.

The Revenue Recognition Principle states that revenues should be recognized when the service is provided, not when the cash is received.

According to this, revenue is earned on November 30, when the sale is made. The adjusting entry would look like:

November 30	Accounts Receivable	Dr	1000	
	Service Revenue	Cr		1000

This entry recognizes the revenue.

3.(b)

Closing Entries

Journal

Date	Accounts Title and Explanation		Ref	Debit	Credit
December 31	R. Hancock, Capital	Dr		8,000	
	Income Summary	Cr			8,000
31	R. Hancock, Capital	Dr		15,000	
	R. Hancock, Drawings	Cr			15,000

3.(c)

Adjusting Entries

Journal

Date	Accounts Title and Explanation		P R	Debit	Credit
2020 May 31	Supplies Expense	Dr		900	
	Supplies	Cr			900
31	Travel Expense	Dr		250	
	Travel Payable	Cr			250
31	Insurance Expense	Dr		150	
	Prepaid Insurance ($3600 × 1/24)	Cr			150
31	Unearned Service Revenue	Dr		1600	
	Service Revenue ($ 2000 - 400)	Cr			1600
31	Salaries Expense	Dr		960	
	Salaries Payable ($2x800 × 3/5)	Cr			960
31	Depreciation Expense	Dr		170	
	Accumulated Depreciation-Office Furniture	Cr			170
31	Accounts Receivable	Dr		1200	
	Service Revenue				1200

Woods Consulting

Adjusted Trial Balance

May 31, 2020

Accounts Title	Debit	Credit
Cash	5700	
Accounts Receivable	7200	
Supplies	1000	
Prepaid Insurance	3450	
Office Furniture	10,200	
Accumulated Depreciation - Office Furniture		170
Accounts Payable		4500
Travel Payable		250
Unearned Service Revenue		400
Salaries Payable		960
S. Woods, Capital		17,700
Service Revenue		10,300
Salaries Expense	~~3400~~ 4360	
Rent Expense	900	
Insurance Expense	450	
Depreciation Expense	~~170~~	
	$ 31,700	$ 31,700

Supplies expense
Travel expense